



## KUALA LUMPUR UNIVERSITY OF SCIENCE AND TECHNOLOGY

(formerly known as Infrastructure University Kuala Lumpur)

### ASSIGNMENT 2: GLOBAL E-COMMERCE CASE STUDY

**ASSIGNMENT TITLE:** Global Expansion Challenges of KLUST in Offering Online Academic Programs  
Internationally

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| <b>Semester</b>    | Oct/Nov 2025                                         |
| <b>Date:</b>       | January 5, 2026                                      |

#### AI Usage Declaration

**Declaration:** This assignment includes content assisted by AI tools for idea generation and checking grammar in Sections 3 and 4. The final writing and analysis reflect my own understanding.

## **1. Background of KLUST & Programme Offering**

Kuala Lumpur University of Science and Technology (KLUST) is a private Malaysian university with an emphasis on science and technology in its higher education offerings. To increase the global presence of its academic programs and therefore expand globally, KLUST will need to promote its academic programs (diplomas and degrees) through online delivery to international students from the developing regions of Africa, the Middle East, and Southeast Asia.

Additionally, KLUST has intentions to use e-commerce platforms, specifically a dedicated website, social media advertising, and digital application systems to attract and enroll these students into KLUST's academic programs without requiring them to travel to Malaysia prior to enrollment. While marketing higher education internationally presents a number of unique challenges and barriers for universities looking to expand globally, this case study examines the six most common barriers that KLUST will encounter when expanding globally.

## **2. Global Issues Analysis**

### **2.1 Cultural & Language Barriers**

To reach different demographics around the world, marketers need to be aware of how they can create a positive image of their brand by being sensitive to each demographic's culture.

- **Language Skills-** Many international students (example: the Middle East and/or China) that the KLUST programs are targeting are likely going to have limited ability with reading and writing English. Using advanced language in your marketing materials for these students will discourage them from continuing on the site.

- **Perception of Malaysian Universities-** There is a perception in several international locations that a degree from a university located outside of Malaysia has greater prestige than a degree from a Malaysian institution. As an example, when international families consider where to send their children to school, they tend to want to send them to either the United States or the UK because those institutions provide a much better learning experience in person than online.

### **2.2 Legal & Regulatory Compliance**

Operating as an institution in a global environment means that it has to follow a vast array of legal regulations from all over the world.

- **Accreditation and Recognition:** The most significant legal compliance requirement is whether the KLUST diploma will be recognized by the ministry of education/competent authority of the student's home country. In other words, there may be specific governmental entities (i.e., government ministries in many Middle Eastern countries) that may not recognize 100% on-line degree programs for public sector employment opportunities.
- **Data Protection (GDPR/PDPA):** The personal identifiable information (student records), and passport information that KLUST will obtain from international students when they apply to enroll in on-line degree programs will have to be protected by complying with international data protection regulations such as those found in Europe's GDPR, and Malaysia's Personal Data Protection Act 2010 (PDPA).
- **Visa Requirements:** Although KLUST will provide 100% on-line degree programs, it is possible that some of its programs will include short visits to Malaysia. To protect itself and its students from potential legal ramifications, KLUST will need to comply with the complex EMGS (Education Malaysia Global Services) visa regulations to avoid misrepresenting the student status of its international students.

### **2.3 Payment Preferences & Currency Issues**

Financial transactions are the engine that drives e-commerce globally. However, financial transactions encounter barriers globally.

KLUST has focused on a regional level as it targets developing regions (Somalia, Nigeria, Sudan) where the banking system could be limited by sanctions and/or policies. This could limit student's ability to use international credit card options such as Visa and MasterCard to fund their education online through KLUST.

Students will also not trust using an unknown portal for large tuition payments. KLUST needs to provide a global recognizable payment platform so students do not abandon the cart when making payments.

Tuition is quoted in MYR (Malaysian Ringitt). Exchange rates fluctuate and this could cause students from countries with poor currency conversion rates to see the costs increase 10-20% to fund their education which would likely result in dropout rates increasing.

## 2.4 Logistics & Delivery Challenges

Logistics remain a problem for an on-line program.

One large problem is the physical transportation of printed materials such as official letters of acceptance, graduation certificates (scrolls), etc. The cost and reliability of courier services like DHL are poor to non-existent in rural areas of KLUST's targeted regions. Loss of a certificate could cause significant distress.

Another issue with logistics is that there is a very large time difference between KLUST and many of its students. It would be impossible for some students to attend live classes (Synchronous learning) due to the time zone differences. For example, a 10:00 AM class in Malaysia would be at 3:00 AM in West Africa.

The third logistical issue with connectivity; students in developing regions may have frequent power outages and/or slow internet connections. If the LMS used by KLUST requires a fast data connection to stream video, students from this region will not be able to participate in their classes.

## 2.5 Customer Trust & Security Issues

- Building credibility is very hard for a new university such as KLUST.  
Brand Credibility - The brand of KLUST University is not well-known internationally, compared with older public universities in Malaysia (e.g., UM or USM). This could make it difficult to attract international student applicants, who are worried about the legitimacy of the university and whether they would receive their money back if they attended.
- Online Scams - The education industry is filled with so-called "degree mills" that sell fake diplomas and "phishing scams" that ask people for money. When a university accepts an international student application, that student is very likely to be cautious of websites that require money; if the KLUST university website contains broken links, poor design, or no contact information, legitimate international students will assume it is a scam and therefore choose to avoid it.

## 3. Recommendations

To overcome these challenges, KLUST should implement the following strategic solutions:

1. **Localize Marketing Content:** KLUST should use AI tools to translate key landing pages into major languages (Arabic, French, Mandarin) and hire regional agents who understand the local culture to bridge the trust gap.

2. **Diverse Payment Options:** Partner with global education payment processors like **Flywire** or **Western Union Business Solutions**. These allow students to pay in their local currency (e.g., Nigerian Naira) while KLUST receives Ringgit, bypassing complex banking restrictions.
3. **Asynchronous Delivery:** Adopt a "Recorded First" teaching model where live classes are optional or repeated in different time slots. This solves the time zone and connectivity issue, allowing students to download videos to watch offline.
4. **Digital Verification:** Use **Blockchain technology** for issuing digital certificates (e-Scrolls). This allows students to receive verified documents instantly without relying on expensive and risky physical couriers.
5. **Build "Social Proof":** To fix the trust issue, KLUST must display its **MQA Accreditation** clearly on the homepage and feature video testimonials from current international students. This "social proof" verifies that KLUST is a real, safe, and quality institution.

#### 4. Conclusion

In conclusion, KLUST's plan to expand internationally through E-Commerce is a promising revenue strategy but is filled with operational risks. The university must move beyond simple marketing and address deep structural issues like payment gateways for developing nations, time-zone friendly teaching, and building digital trust. By implementing these recommendations, KLUST can successfully transform from a local institution into a global digital education provider.

#### References

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